

## Errors & Omissions (E&O) Insurance

For purposes of this Agreement, the term “**Salesperson**” shall mean the Real Estate Salesperson entering into this Agreement.

Salesperson acknowledges that participation in Broker’s Errors & Omissions (“E&O”) insurance program is a condition of affiliation with Broker and requires payment of the annual E&O insurance fee established by Broker. Broker reserves the right to establish, modify, or adjust the amount of the annual E&O insurance fee from time to time upon reasonable notice to Salesperson.

The annual E&O insurance fee is earned in full upon payment, is **not prorated**, and is **non-refundable**, regardless of the date Salesperson affiliates with or terminates affiliation with Broker.

Salesperson acknowledges and agrees that the E&O insurance coverage provided through Broker is purchased on an annual policy basis and provides coverage for the applicable policy year, irrespective of Salesperson’s continued affiliation with Broker. Accordingly, if Salesperson voluntarily or involuntarily terminates this Agreement, transfers to another brokerage, retires, becomes inactive, or otherwise ceases to be affiliated with Broker before the expiration of the applicable policy year, Salesperson shall not be entitled to any refund, credit, offset, or prorated reimbursement of any portion of the E&O insurance fee.

Salesperson expressly authorizes Broker to collect the annual E&O insurance fee by direct payment from Salesperson or by withholding and deducting the fee, in whole or in installments, from any commissions, fees, compensation, or other sums legally payable to Salesperson, in accordance with Broker’s policies then in effect and to the extent permitted by applicable law. If insufficient funds are available through commission deductions, any unpaid balance shall remain the personal obligation of Salesperson and shall be immediately due and payable upon demand. This obligation shall survive the termination of this Agreement until paid in full.

By executing this Agreement, Salesperson acknowledges that the E&O insurance fee is separate from any commission split, transaction fee, desk fee, or other brokerage fee and expressly agrees to the terms of this provision, including the annual nature of the fee, the authorization for deduction from commissions or other compensation, and the fact that the fee is earned in full upon payment, is not prorated, and is non-refundable.